Kerkar wrote to Ratan offering his resignation from his existing directorship of all the associate companies.

Despite the difference of opinion between Kerkar and him, Ratan lauded the veteran's contributions in the 'progress, expansion and the present premier position' achieved by the company's hotels. His contributions were termed as 'significant' and Kerkar's thirty-seven years of service as 'an eventful era'. But while appreciating his contributions, the group chairman also remarked that certain actions of his were at 'variance with the policies of core corporate governance'.

Though Kerkar stepped down as MD in the light of the retirement policy, he could have continued as the non-executive chairman. However, in view of the 'several instances which led the Directors to question the manner and the proprietary [sic] of some of the actions taken by the management in the conduct of its business', Ratan stated that it would be in the 'best interest of all' if Kerkar stepped down from the chairmanship of the company and its subsidiaries.

Along with the change in leadership, there was a reshuffling of the Taj's senior management. While Kerkar's supporters, Panjabi and Menezes, were shifted to Titan Industries and Tata Exports respectively, Prasun Sengupta, another close aide of Kerkar's, was transferred to Tata Administrative Services.

Despite all his achievements, it was evident that Kerkar had cut too many corners to expand the Taj group of hotels. In the process, he breached some of the hallowed traditions of the group. JRD had said: 'If we had adopted the means [without placing premium on integrity] some others have we would have grown twice as big as we are today. But we would not want it any other way.' Ratan echoed the same philosophy in his address to the CEOs in January 1996, when he remarked: 'We need to question the unquestioned, we need to ask ourselves whether we can grow faster than we have—without sacrificing our moral values and business ethics.'